

Axion — Income Tax Consequences of the Renewable Energy Investment Opportunities

Document 7, pages 18 to 20 | APC 2026 September Qualifying Exam | Axion Digital Infrastructure (Pty) Ltd

The trigger. Document 7 page 18: the CFO asks you to familiarise yourself with the **income tax considerations** for renewable energy, and links to SARS Guide **IT39** (23 November 2024).

Arrangement. Each investment opportunity is dealt with separately and in full: the sections, the application, a worked example, and the information Document 7 does not give.

Application format. Each application states **TAXPAYER** may deduct, **AMOUNT**, and **TIMING**.

Sources. Income Tax Act 58 of 1962; SARS Guide IT39; IAC 2026 Tax Notes and Tutorials; Document 7.

Contents

Case law — principles applied in this document.....	2
The investment opportunities, as Document 7 states them.....	2
Investment 1 — Additional power purchase agreements.....	3
Investment 2 — Direct investment in generation capacity.....	4
2.1 Section 12B — the generation plant.....	4
2.2 Foundations, improvements, transmission and storage assets.....	4
2.3 Section 12BA.....	5
2.4 Section 12U — roads and fences.....	5
2.5 Assets outside sections 12B and 12U.....	5
2.6 Who is entitled to the allowance.....	6
2.7 Funding, assessed losses and disposal.....	6
2.8 Other taxes.....	7
2.9 Worked example.....	7
2.10 Information required.....	8
Investment 3 — Off-site generation and wheeling.....	9
Investment 4 — Long-term offtake agreements.....	10
The existing on-site solar generation.....	11
Summary — the four opportunities side by side.....	11

Case law — principles applied in this document

Wording follows the IAC 2026 Tax Notes and Tutorial solutions. Each case is cited in brackets in the application where it applies.

Case	Principle	Applied in
PE Tramways / Joffe	An amount is in the production of income if the risk of incurring it is an inevitable concomitant of the taxpayer's income-earning operations.	Investments 1, 3 and 4 — electricity, wheeling charges, transmission losses and curtailment.
Warner Lambert / Sub-Nigel	The purpose for which the expenditure was incurred is the decisive consideration ; it must be incurred for the purpose of earning income, whether or not it actually resulted in income .	Investments 3 and 4 — volumes paid for but not received or not used.
Edgars Stores / Nasionale Pers	An amount is actually incurred only when an unconditional liability exists. No amount may be deducted for a provision . Expenditure is deducted once all conditions are met, even if the amount is an estimate.	Investment 4 — multi-year offtake commitments.
BP (SA) / New State Areas / Rand Mines	A distinction is drawn between expenditure to acquire an income-producing concern and expenditure incurred in working it. Expenditure that adds to the income-earning structure , or gives an enduring benefit , is capital.	Investment 2 — the project cost is capital, so relief is only by capital allowance.
Burgess	The definition of “ trade ” should be given a wide interpretation .	Investment 2 — the s12B and s12U trade requirements.
African Products Manufacturing	A repair restores or replaces a subsidiary part after damage. A renewal replaces substantially the whole. An improvement creates a better asset. Using different material does not of itself make it an improvement.	Investment 2 and the existing on-site solar — s11(d) against s12B(1)(i).

The investment opportunities, as Document 7 states them

Investment	Document 7, page 20	Point of entry
1. Additional power purchase agreements	Purchase renewable electricity from an independent producer. May require limited upfront capital. Price, volume and supply terms agreed contractually.	No asset acquired → s11(a) only.
2. Direct investment in generation capacity	Invest in a renewable energy project, potentially with an experienced technical partner. Requires upfront capital and an appropriate funding structure. Axion participates in the risks and returns.	Asset acquired → s12B, s12U, s13quin, s11(e) , and who owns it.
3. Off-site generation and wheeling	Land and network constraints may limit generation on site. Electricity generated elsewhere and supplied through the network, allocated at an agreed metering point. Network and wheeling charges, transmission losses, curtailment, electricity generated but not used.	Ownership of the off-site plant, plus s11(a) on the wheeling costs.
4. Long-term offtake agreements	Pricing and escalation terms may apply for many years. Purchase commitments may begin before the new facility is fully utilised.	When each year's amount is actually incurred.

Investment 1 — Additional power purchase agreements

Document 7, page 20: purchase renewable electricity from an independent producer; may require limited upfront capital; price, volume and supply terms agreed contractually.

Section	What it requires / allows	Application to Axion
s12B(1)(h) s12BA s11(e)	Each requires the asset to be owned by the taxpayer (or held under an instalment credit agreement) and brought into use by that taxpayer for its own trade.	TAXPAYER — the producer owns the plant and brings it into use. No allowance to Axion. AMOUNT / TIMING — nil.
s12U	Requires the taxpayer's trade to be the generation of electricity exceeding 5MW.	TAXPAYER — not Axion. Its trade is data centres and interconnection (page 19), and it owns no plant.
s11(a) with s23(g)	Expenditure actually incurred in the production of the income, not of a capital nature , and laid out for the purposes of trade.	TAXPAYER — Axion. Electricity powers customers' equipment, cooling and security (page 19), so the risk of incurring it is an inevitable concomitant of operating data centres (PE Tramways/Joffe). Working the income-earning operations, not adding to the structure → not capital (BP (SA)/New State Areas/Rand Mines). AMOUNT — the full cost incurred. No rate, no write-off period. TIMING — in the year the unconditional liability arises (Edgars Stores/Nasionale Pers). Recurs each year for the contract term.
VAT s16(3), s17	Electricity is a standard-rated supply at 15% . Input tax deductible to the extent acquired for making taxable supplies .	Deductible in full — Axion makes taxable supplies. Requires the producer to be a registered vendor .
Carbon Tax Act	Imposed on emissions from fuel combustion above the activity threshold; not on purchased electricity.	Axion's liability arises from its diesel backup generators (page 19), which page 20 states are not replaced by renewable generation.

Worked example

Illustrative figures. Document 7 does not state a volume, price or term.

	Input	Effect
Volume purchased	80 000 000 kWh	
Price	R1.10 per kWh	
Cost actually incurred	R88 000 000	
Capital allowance	Nil — no asset owned	Nil
s11(a) deduction	R88 000 000	R23 760 000 at 27%
Input tax on the producer's invoice	R13 200 000	Deductible

Information required

- Volume, price and escalation basis; the term of the agreement.
- Whether there is a **minimum purchase or take-or-pay obligation** — if so, Investment 4 applies.
- Whether the producer is a **registered VAT vendor**.
- Whether Axion contributes **capital, a prepayment or funding**, or acquires any interest in the plant.

Investment 2 — Direct investment in generation capacity

Document 7, page 20: invest in a renewable energy project, potentially with an experienced technical partner; requires upfront capital and an appropriate funding structure; Axion participates in the risks and returns. Sections 2.1 to 2.7 follow SARS Guide IT39.

- The project cost **acquires an income-producing concern** and gives an **enduring benefit**, so it is **capital** and not deductible under s11(a) (BP (SA)/New State Areas/Rand Mines). Relief is available only through the capital allowances below.

2.1 Section 12B — the generation plant

Section	What it requires / allows	Application to Axion
s12B(1)(h)	Deduction on the cost of machinery, plant, an implement, a utensil or an article that is owned by the taxpayer (or held under an instalment credit agreement), brought into use for the first time by that taxpayer for its own trade , and used by it in generating electricity from a specified source. Sources : wind; photovoltaic solar; concentrated solar; hydropower not exceeding 30MW ; biomass.	TAXPAYER — Axion, if it owns the plant and brings it into use. No restriction on the type of trade (IT39 2.5), and “trade” is widely interpreted (Burgess), so plant powering Axion’s own data centres qualifies. Electricity may also be sold to others . Hydropower above 30MW falls outside s12B → s11(e), 2.5.
s12B(2)	50 / 30 / 20 over three years. s12B(2)(b): 100% in year one for photovoltaic solar not exceeding 1MW . s12B(5) caps total deductions at cost .	AMOUNT — depends on capacity and technology. PV ≤ 1MW → 100%. PV above 1MW , wind, concentrated solar, qualifying hydro and biomass → 50/30/20.
Timing	No apportionment — the full percentage is deducted in the year of first use, even on the last day of the year. “ Brought into use for the first time ” is a question of fact; installation and testing do not qualify . Onus on the taxpayer.	TIMING — the year Axion first uses the plant, then the next two years. Page 19 records that new connections may require substantial lead times , which determines the year of first use. Evidence: electrical certificate of compliance, confirmation of the installation and use date, generation and metering reports, contracts, invoices.
Exclusions	The asset need not be new and unused — second-hand qualifies. Mixed sources (IT39 2.1.4): the asset must generate from the listed sources; there is no “to the extent” or “mainly”. An asset using renewable and non-renewable sources does not qualify at all . s12B(4) denies the deduction where the asset is let other than under an operating lease (s23A(1)) unless the lessee derives income and the lease runs 5 years or the asset’s life; where it was disposed of in a previous year ; or where s6C or s12BA was allowed.	Second-hand plant qualifies if brought into use for the first time by Axion . Mixed sources are live here . Page 19 records grid and municipal supply, renewable electricity, on-site solar and diesel backup generators . A single installation generating from a renewable source and diesel qualifies for no deduction , with no apportionment. If Axion lets the plant to another party, s12B(4) must be tested.

2.2 Foundations, improvements, transmission and storage assets

Section	What it requires / allows	Application to Axion
Foundations proviso to s12B(1)	A foundation or supporting structure is deemed part of the asset only if all three apply: it is designed for the asset and integrated with it; its useful life is limited to the asset’s ; and it was brought into use on or after 1 January 2013 .	TAXPAYER / AMOUNT / TIMING — Axion, at the same rate and in the same years as the plant. Panel mounting frames and their concrete foundations qualify. A strengthened roof does not (IT39 Example 3): it is integrated with the building , and its life exceeds that of the panels.
s12B(1)(i)	Deduction for improvements — not repairs — to a qualifying asset or its deemed foundation, at the same rate . The underlying asset must itself have qualified . The cost excludes the underlying asset. s12BA made no provision for improvements .	TAXPAYER / AMOUNT / TIMING — Axion, same rate, from the year the improvement is brought into use. An improvement creates a better asset ; a repair restores a subsidiary part after damage and is deducted in full under s11(d) (African Products Manufacturing).
Transmission	Storage and conversion assets qualify if part	Grid connection and transmission line — generally

Section	What it requires / allows	Application to Axion
and storage IT39 2.2	of a system that produces electricity — PV panels with their foundations and steel structures, DC combiners and feeder lines, AC inverters. Assets used for transmission (transformers, transmission lines) or storage (batteries) do not generate electricity and will generally not qualify , unless integral to a generating system . Assets that only draw power from the grid and store it do not qualify .	outside s12B → 2.5. Batteries. Page 19 records UPS and battery infrastructure , and page 20 records that renewable generation does not replace it. Batteries integral to the renewable system may qualify under s12B; batteries charged from the grid for resilience do not → s11(e) .

2.3 Section 12BA

Section	What it requires / allows	Application to Axion
s12BA	125% of cost , deducted in full in the year of first use , for a new and unused asset brought into use on or after 1 March 2023 and before 1 March 2025 . No capacity threshold; not apportioned. s12BA(4)(b) denies the deduction where the asset is brought into use after 28 February 2025 .	TAXPAYER / AMOUNT / TIMING — not available on this investment. Plant acquired now will be brought into use after 28 February 2025. The allowance available is s12B (2.1). May be relevant to plant already held — see the existing on-site solar section.

2.4 Section 12U — roads and fences

Section	What it requires / allows	Application to Axion
s12U(1)(a)	100% of the amount actually incurred in the year on the construction of a road or erection of a fence used for the taxpayer's trade of the generation of electricity exceeding 5MW from a specified source. New construction only , not existing roads or fences.	TAXPAYER — only a taxpayer whose trade is generating electricity . This is narrower than s12B, which accepts any trade. Page 19 describes Axion's trade as data centres and interconnection. Where the generating entity sells or wheels electricity, the trade requirement is met; "trade" is widely interpreted (Burgess). Where generation is solely for Axion's own use , whether such a trade is carried on is a question of fact not addressed in Document 7. AMOUNT — 100%. Below 5MW the section does not apply.
s12U(2) s12U(1)(b)	The foundation designed for such a fence qualifies in its own right where integrated with the fence and limited to its useful life. Improvements to the road, fence or fence foundation are deductible; repairs are not.	Unlike s12B, the fence foundation is not deemed part of the fence.
s12U(3) IT39 6.3	Expenditure incurred before the trade commences, in preparation for it , is deducted when the trade commences . The deduction must be taken in the year incurred and cannot be postponed .	TIMING — the year incurred; or, for pre-trade expenditure, the year the generation trade commences. Roads and fencing are ordinarily constructed before commissioning, so s12U(3) is likely to apply . Because it cannot be postponed, it falls in one year and may create an assessed loss → 2.7.

2.5 Assets outside sections 12B and 12U

Section	What it requires / allows	Application to Axion
s13quin	5% per annum of the cost of a new and unused building or improvement, owned by the taxpayer and used wholly or mainly (more than 50%) in producing income in its trade. Based on the lower of cost and market value . Land excluded.	TAXPAYER — Axion, as owner. AMOUNT — 5% a year. TIMING — from the year of first use. Applies to a substation or plant-room building that is new and unused.
s11(e)	Deduction for the decrease in value of machinery, plant, implements, utensils and articles owned by the taxpayer, at the rates in	TAXPAYER — Axion. AMOUNT — the IN 47 write-off period. TIMING — from first use, apportioned for the part of the year in use.

Section	What it requires / allows	Application to Axion
	IN 47 / BGR 7. Apportioned for part-periods of use. Excludes assets in respect of which a deduction may be granted under s12B, 12C, 12DA, 12E(1), 12U or 37B — even if s11(e) would give more (IT39 9.1). The taxpayer cannot choose between the sections.	Applies to the transmission line and transformers not integral to generation , and to grid-charged UPS and backup batteries . The exclusion operates automatically: where s12B may be granted, s11(e) is unavailable.
No section	Where no allowance section applies the expenditure is capital and forms part of base cost .	Land — no allowance under any section.

2.6 Who is entitled to the allowance

Document 7 page 20: the investment would be made "potentially with an experienced technical partner".

Section	What it requires / allows	Application to Axion
Ownership IT39 2.3	The same taxpayer must own the asset, bring it into use, use it in its own trade , and use it in generating electricity. Ownership is determined at common law. Under superficies solo credit , an asset artificially attached to land becomes the property of the landowner ; the purchaser may then not be the owner and is not entitled to a deduction . The taxpayer need not own the land , but must own the asset .	TAXPAYER — depends on the structure, which Document 7 does not state. Axion owns the plant → Axion deducts the full allowance. Plant accedes to land Axion does not own → no deduction to Axion (it is not the owner) and none to the landowner (it incurred no cost). Where the plant is attached so it can be removed without damage and the parties record that it will be removed at the end of the lease, Axion retains ownership. A concrete foundation remains with the land .
s12N	Deems a taxpayer holding a right of use or occupation to be the owner of improvements it effects to land it does not own, for s12B and s12BA purposes. The IAC 2026 Tax Notes describe s12N as applying to land or buildings leased from government or held under a Public Private Partnership .	Test s12N where Axion builds on land it does not own. If its requirements are not met, the s12B ownership requirement fails .
s24H	Each partner has an undivided proportionate share of each asset and deducts that share. s24H(3) may limit the deduction in the year, with the excess carried forward under s24H(4) .	Joint operation → Axion deducts its proportionate share , subject to the s24H(3) limitation.
Separate company	A company that owns the plant deducts in its own right; shareholders deduct nothing.	Project company owns the plant → that company deducts. Axion deducts only s11(a) on electricity it purchases.
Letting IT39 2.3	Generally no s12B allowance where the taxpayer lets the asset, because the lessee then uses it to generate.	Relevant if Axion lets the plant to the technical partner or an operator.

2.7 Funding, assessed losses and disposal

Section	What it requires / allows	Application to Axion
s24J s11A	Interest is incurred and accrued on a yield-to-maturity basis , independently of the accounting treatment. s11A : expenditure incurred in preparation for a trade before it commences is deducted when the trade commences, limited to the taxable income of that trade , with the excess carried forward.	TAXPAYER — the entity that incurs the interest. TIMING — as incurred, not as paid. Page 20 records that the investment requires an appropriate funding structure .
s20(1)(a)	A company sets off the balance of assessed loss brought forward only against the higher of R1 million or 80% of taxable income . The balance carries forward. The current-year loss is not restricted .	Where first-year allowances exceed taxable income an assessed loss arises; in the next year at least 20% of taxable income above R1m remains taxable. Most pronounced where the plant sits in a separate company with no other income .

Section	What it requires / allows	Application to Axion
s8(4)(a) s8(4)(k)	Amounts previously deducted and later recovered or recouped are included in income: proceeds limited to cost, less tax value . A recoupment can never exceed the allowances previously granted . s8(4)(k) : on a disposal to a connected person , to a shareholder, or by donation, market value is substituted for proceeds.	TIMING — the year of disposal. A transfer of the plant to a project company or the technical partner falls to be tested against s8(4)(k) .
s11(o)	Disposal allowance where tax value exceeds proceeds , for assets qualifying under specified sections including s12B but excluding s12U , where the tax life does not exceed 10 years . Elective , and not available on a disposal to a connected person .	Available only if the plant's tax life does not exceed 10 years and the buyer is not a connected person.
Eighth Schedule paras 65, 66	Proceeds less base cost. Proceeds are reduced by amounts included in gross income (including the recoupment); base cost is reduced by allowances claimed . Company inclusion rate 80% . On a replacement asset , the recoupment may be deferred and released in line with the allowances on the replacement, subject to the paragraph 65 and 66 requirements.	Any excess of proceeds over cost is a capital gain , included at 80%. Consider paragraphs 65 and 66 if plant is disposed of in order to replace it.

2.8 Other taxes

Section	What it requires / allows	Application to Axion
VAT s16(3), s17	Input tax deductible to the extent goods or services are acquired for making taxable supplies . Import VAT is recoverable; customs duty is not .	AMOUNT — 15% of the plant and construction cost. TIMING — the tax period of acquisition, on a valid tax invoice. Customs duty is not recoverable and forms part of the s12B cost.
s64F	Dividends tax at 20% , exempt where the beneficial owner is a resident company , subject to the declaration and undertaking.	Arises only where a separate company holds the plant and distributes profits to Axion.
Carbon Tax Act	Imposed on emissions from fuel combustion above the activity threshold; not on purchased electricity.	Axion's liability arises from its diesel backup generators , which page 20 states renewable generation does not replace.

2.9 Worked example

Illustrative figures. Document 7 does not state a capacity, cost, commissioning date or structure.

Step 1 — Allocate the cost to the applicable section

Cost element	Cost	Section	Year 1 deduction
Generation plant — 30MW PV	R450 000 000	s12B at 50% (above 1MW)	R225 000 000
New road and perimeter fencing	R25 000 000	s12U at 100%, if the generation trade test is met	R25 000 000
Grid connection and transmission line	R60 000 000	s11(e), apportioned	R500 000 — 20 years, 2 months
Land	R15 000 000	No allowance — base cost	Nil
Total	R550 000 000		R250 500 000

Step 2 — Section 12B over three years

Plant of R450 000 000	Year 1	Year 2	Year 3	Total
Rate	50%	30%	20%	100%
Deduction	R225 000 000	R135 000 000	R90 000 000	R450 000 000

Plant of R450 000 000	Year 1	Year 2	Year 3	Total
At 27%	R60 750 000	R36 450 000	R24 300 000	R121 500 000

Step 3 — Who deducts the R250 500 000

	Axion owns	Joint operation, 50%	Project company owns
TAXPAYER	Axion	Axion 50%, partner 50%	The company
AMOUNT to Axion	R250 500 000	R125 250 000, subject to s24H(3)	Nil — s11(a) on electricity only
Taxable income R350 000 000 less	R99 500 000	R224 750 000	Less electricity purchased
Tax at 27%	R26 865 000	R60 682 500	—
If the plant accedes to land Axion does not own	Nil to Axion and nil to the landowner	Nil to Axion	Unaffected

Step 4 — Disposal, tax value nil

	Sold for R200 000 000	Sold for R500 000 000
s8(4)(a) — proceeds limited to cost, less tax value	R200 000 000	R450 000 000
At 27%	R54 000 000	R121 500 000
Capital gain — proceeds less cost, at 80% and 27%	Nil	R10 800 000
Total on disposal	R54 000 000	R132 300 000

2.10 Information required

- **Capacity in MW and technology** — sets the s12B rate and the s12U threshold.
- **Split of the project cost** between plant, roads and fencing, grid connection, buildings and land.
- **Structure with the technical partner** and participation percentages.
- **Who owns the land**, the lease terms on removal, and how the plant is attached.
- **Date the plant will be brought into use.**
- Whether the generating entity will **sell or wheel** electricity — the s12U trade test.
- **Split of battery and storage spend** between generation storage and grid-charged resilience.
- **Funding structure and interest rate**; whether any plant is **imported** and the customs duty.

Investment 3 — Off-site generation and wheeling

Document 7, page 20: land and network constraints may limit generation on site; electricity generated elsewhere and supplied through the network, allocated at an agreed metering point; network and wheeling charges, transmission losses, curtailment, and electricity generated but not used.

Section	What it requires / allows	Application to Axion
s12B IT39 2.3	The section does not require the asset to be at the taxpayer's premises . It does require ownership , and ownership is determined at common law: under superficies solo cedit an asset attached to land becomes the landowner's property.	TAXPAYER — the allowance follows ownership , not location. Axion owns the off-site plant and retains ownership → the whole of Investment 2 applies unchanged. An independent producer owns it → Investment 1 applies: no allowance, s11(a) only. Axion owns it but it accedes to another's land → no allowance to Axion . Page 20 states that land and network constraints are the reason for placing generation off site, so the plant may stand on land Axion does not own. Test s12N .
IT39 2.2	Transformers and transmission lines are used for transmission and generally do not qualify under s12B.	The transmission line to the metering point is dealt with under 2.5 (s11(e)).
s11(a) with s23(g)	Expenditure actually incurred in the production of the income , not of a capital nature.	TAXPAYER — Axion. AMOUNT — the full network and wheeling charges . TIMING — the year the obligation arises. These are operating costs of delivering electricity to the metering point. Transmission losses — Axion pays for volume at the generation point and receives less at the metering point. The cost of the lost units is deductible : the purpose of the expenditure is the decisive consideration, and it need not actually have resulted in income (Warner Lambert/Sub-Nigel). Curtailment and electricity generated but not used — same analysis. Page 20 lists both as features of a wheeling arrangement, so the risk is an inevitable concomitant of that arrangement (PE Tramways/Joffe).
VAT	Electricity and network services are standard-rated at 15% .	Two supplies — electricity from the producer and the wheeling service from the network operator. Input tax deductible on both . The metering point fixes the volume invoiced.

Worked example — independent producer owns the plant

Illustrative figures. Document 7 does not state a volume, price, wheeling tariff or loss factor.

	Input	Effect
Volume contracted at the generation point	80 000 000 kWh	
Transmission losses at 5%	(4 000 000 kWh)	
Volume received at the metering point	76 000 000 kWh	
Electricity — 80 000 000 kWh at R1.10	R88 000 000	s11(a) — R23 760 000
Network and wheeling charges	R12 000 000	s11(a) — R3 240 000
Total s11(a) deduction	R100 000 000	R27 000 000 at 27%
Capital allowance to Axion	Nil	Nil

Information required

- **Who owns the off-site plant**, and whether Axion acquires any interest in it.
- **Who owns the land**, the lease terms on removal, and how the plant is attached.
- The **wheeling tariff** and the **loss factor** at the metering point.
- **Who bears curtailment risk**, and whether Axion pays for electricity generated but not delivered.

Investment 4 — Long-term offtake agreements

Document 7, page 20: pricing and escalation terms may apply for many years; purchase commitments may begin before the new facility is fully utilised; the project may depend heavily on one customer.

Section	What it requires / allows	Application to Axion
s11(a) timing	An amount is actually incurred only when an unconditional liability exists. No amount may be deducted for a provision. Expenditure is deducted once all conditions are met , even if the amount is an estimate .	TAXPAYER — Axion, as purchaser. AMOUNT — each year's obligation only . Signing an agreement running for many years does not incur the expenditure of future years (Edgars Stores/Nasionale Pers). TIMING — in each year that the obligation for that year becomes unconditional. No deduction arises on signature for later years. Escalation does not accelerate the deduction: each year is deducted at the price applicable to that year, and an estimate does not prevent the deduction once the conditions are met.
s11(a) unused volume	Expenditure must be incurred for the purpose of earning income ; it need not actually have produced income.	Electricity paid for but not used remains deductible. Page 20 records that purchase commitments may begin before the new facility is fully utilised . Where Axion is unconditionally obliged to pay a take-or-pay amount, the purpose of the expenditure is the decisive consideration and it is deductible although the electricity is not consumed (Warner Lambert/Sub-Nigel). Securing electricity ahead of capacity is an inevitable concomitant of contracting for future supply (PE Tramways/Joffe).
s23H	Where expenditure relates to goods or services to be supplied in a future year, the deduction is limited, unless all will be supplied within six months after year end , or the aggregate prepaid expenditure does not exceed R100 000 .	Applies where any amount is payable in advance under the agreement.
VAT	Input tax follows the time of supply rules.	Deductible on each invoice, including invoices for take-or-pay volumes not consumed.

Worked example

Illustrative figures. Document 7 does not state a contracted volume, take-or-pay percentage or utilisation profile.

Take-or-pay 80 000 000 kWh at R1.10	Year 1	Year 2	Year 3
Volume consumed	55 000 000 kWh	70 000 000 kWh	80 000 000 kWh
Volume paid for but not consumed	25 000 000 kWh	10 000 000 kWh	Nil
Amount actually incurred	R88 000 000	R88 000 000	R88 000 000
s11(a) deduction	R88 000 000	R88 000 000	R88 000 000
At 27%	R23 760 000	R23 760 000	R23 760 000
Deduction on signature	Nil — later years are not yet unconditional		

Information required

- The **term** and the **take-or-pay percentage or minimum purchase obligation**.
- The **escalation formula** and how each year's price is determined.
- The **utilisation profile** of the new capacity against the date the commitment begins.
- Whether any amount is payable **unconditionally on signature** or **in advance** (s23H).

The existing on-site solar generation

Document 7, page 19 records on-site solar generation supplementing electricity supply. This is not an option under consideration on page 20, but it carries its own consequences.

Section	What it requires / allows	Application to Axion
s12B(2)(b) s12BA	100% in the year of first use for photovoltaic solar not exceeding 1MW ; otherwise 50/30/20. s12BA: 125% for a new and unused asset brought into use on or after 1 March 2023 and before 1 March 2025 . The sections are mutually exclusive.	TAXPAYER — Axion, as owner. AMOUNT / TIMING — depends on capacity and the date of first use, neither of which Document 7 states. Where s12BA applied, the excess of the 125% over cost is a permanent difference .
s8(4)(a) s8(4)(nA)	On disposal, proceeds limited to cost, less tax value , are included in income. s8(4)(nA) : for a s12BA asset disposed of before 1 March 2026, 25% of the cost recouped is included in addition , the two limited to the total allowed under s12BA. It does not apply to a disposal on or after 1 March 2026 .	TIMING — the year of disposal, and the date determines the amount : before 1 March 2026 both provisions apply; on or after that date only s8(4)(a).
s11(d) s12B(1)(i)	Repairs deducted in full when incurred. Improvements deducted at the rate applicable to the underlying asset. s12BA made no provision for improvements .	Replacing a damaged panel is a repair — a restoration of a subsidiary part . Installing a better array is an improvement (African Products Manufacturing).
s12L	Deduction for energy efficiency savings at 95 cents per kWh , subject to measurement and verification and a SANEDI certificate . s23B prohibits double deductions, but IT39 9.4 confirms s12B and s12L may both be claimed , as they relate to different amounts — the cost of the asset and the energy saved.	Page 19 records electricity as one of Axion's most significant operating costs and an AI-enabled maintenance tool piloted at Johannesburg 1 .

Illustrative figures. Document 7 does not state the capacity, cost or installation date.

800kW installation costing R18 000 000	If s12B applied	If s12BA applied
Rate	100% — not exceeding 1MW	125%
Deduction in the year of first use	R18 000 000	R22 500 000
At 27%	R4 860 000	R6 075 000
Disposal for R15 000 000 before 1 March 2026	s8(4)(a) R15 000 000	s8(4)(a) R15 000 000 + s8(4)(nA) R4 500 000 = R19 500 000
Disposal for R15 000 000 on or after 1 March 2026	s8(4)(a) R15 000 000	s8(4)(a) R15 000 000 only

Summary — the four opportunities side by side

	1 — PPA	2 — Direct investment	3 — Wheeling	4 — Offtake
Asset acquired?	No	Yes, if Axion owns	Depends on ownership	No
TAXPAYER deducts the capital allowance	The producer	The owner — Axion, each partner, or the company	The owner of the off-site plant	N/A
Sections	s11(a)	s12B, s12U, s13quin, s11(e), s24J	As 1 or 2, plus s11(a)	s11(a), s23H
AMOUNT	Cost incurred	50/30/20; 100% for PV ≤1MW; s12U 100%	Cost incurred, or as 2	Each year's obligation
TIMING	Year the obligation arises	From first use; not apportioned	Year the obligation arises	Each year, not on signature
Case law	PE Tramways/Joffe	BP (SA)/New State Areas/Rand Mines;	Warner Lambert/Sub-Nigel; PE	Edgars Stores/Nasionale Pers

	1 — PPA	2 — Direct investment	3 — Wheeling	4 — Offtake
		Burgess; African Products	Tramways/Joffe	
Disposal	N/A	s8(4)(a), s8(4)(k), s11(o), Eighth Schedule	As 2 if Axion owns	N/A

Sources

- Income Tax Act 58 of 1962; Value-Added Tax Act 89 of 1991; Carbon Tax Act 15 of 2019.
- SARS Guide **IT39**, 23 November 2024. IT39 records that it is not an “official publication” as defined in s1 of the Tax Administration Act 28 of 2011, does not create a practice generally prevailing under s5, and is not a binding general ruling under s89.
- Interpretation Notes 47, 60, 74, 95, 107 and 119, and Binding General Ruling 7.
- **IAC 2026 Tax Notes** and **IAC 2026 Tax Tutorials** — the general deduction formula, the capital and revenue tests, the capital allowances, recoupments and disposal allowances, and the case law.
- Document 7 of the pre-release, pages 18, 19 and 20.

Prepared for APC 2026 September Qualifying Exam preparation. Axion Digital Infrastructure (Pty) Ltd is a fictitious entity created for assessment purposes.